Higher National Diploma in Accountancy

First Year - First Semester Examination - 2021

DA1113 – Financial Accounting (I)

Instructions for Candidates	**Time: 3 hours**
Answer five (05) questions including 1 and 2	**No of Pages: 07**
	No of Questions: 06

Question No- 01

1. What is the main objective of General-Purpose financial reporting according to the conceptual framework for Preparation and Presentation of Financial Statements? (02 Marks)
2. What are the differences between management accounting and financial accounting? (03 Marks)
3. State two (02) accounting outputs of the process of accounting. (02 Marks)
4. List out the types of accounting control. (02 Marks)
5. Write the correct sequential order of following functions in the accounting process.
   A. Recording in the prime entry books. B. Incurring business transactions.
   C. Preparing trial balance. D. Preparing source documents. E. Posting to the ledger and balancing off the ledger accounts. (02 Marks)
6. What are the qualitative characteristic is assured if information provided through the financial statement is capable of making the changes in the decision of the users. (02 Marks)
7. What are the conditions to be satisfied to recognize revenue? (02 Marks)
8. ABC PLC purchased machine on 1st of January 2017 at a cost of Rs.760,000. The machine has a residual value of Rs. 40,000 and 8 years of estimated useful life. As at 31st December 2020, it was decided that the machine had a remaining useful life of two years and no residual value. The machine was sold for Rs. 320,000 n 31st December 2021. Compute the profit or loss on disposal of the machine. (03 Marks)
9. Write the accounting concept relevant for following situations.
   a) Recording a building obtained on lease as an asset in lessee's books.
   b) Recognizing revenue in the income statement when goods are sold.

c) Making a provision for sales warranties.

d) Presenting assets as current and non-current assets in the statement of financial position.

(02 Marks)

(Total 20 Marks)

Question No- 02

Amal, Kamal and Vimal were partners of a partnership and following have been extracted from their partnership agreement.

a. Profit and losses should be shared in the ratio of 2:2:1 between Amal, Kamal and Vimal respectively.

b. Amal and Kamal are entitled to receive a monthly salary of Rs. 4,000/- and Rs.2,500/- respectively.

c. Partners are entitled to receive 10% interest per annum on closing balance of capital account of each partner.

d. Interest on Drawing 6% per annum.

The trial balance of the Amal, Kamal and Vimal partnership as at 31st March 2022 is given below.

	Dr. (Rs.)	Cr. (Rs.)
Land and Building at cost (land at cost 400,000)	1,000,000	
Delivery Vehicles - cost	900,000	
Office equipment - cost	350,000	
Provision for depreciation as at 1/4/2021 – Building		200,000
-Delivery Vehicles		340,000
-Office equipment		175,000
Electricity	22,500	
Telephone	11,500	
10% Fixed deposit	200,000	
Rent	42,000	
Distributing expenses	130,000	
Interest income		12,000
Other expenses	53,000	
Provision for doubtful debts as at 1/4/2021		10,000
Debtors / Creditors	275,000	251,000
Staff salaries	65,000	
Inventory as at 01. 04.2021	55,000	
Purchases/Sales	457,000	1,400,000
Return inwards / Return outwards	7,000	4,500
Capital accounts as at 1/4/2021 - Amal		300,000
- Kamal		260,000
-Vimal		175,000
Current accounts as at 1/4/2021 - Amal	10,000	

-Kamal		22,000
-Vimal		16,000
Drawings - Amal	30,000	
-Kamal	14,400	
12% Bank Loan (was obtained at 1/10/2021)		760,000
Sales commission	47,000	
Finance expenses	9,000	
Cash and bank	247,100	
	3,925,500	**3,925,500**

The following additional information is also available.

1) Cost of the closing inventory of the business is valued at Rs.145,000/- and the net realizable value of these stocks was estimated as Rs.130,000/-.
2) As at 1st April 2021 goodwill of the partnership was valued at Rs. 360,000/- and it was decided to write off goodwill through Capital account.
3) Accrued expenses as at 31st March 2022 were Electricity Rs. 6,500/- and Telephone Rs.8,500/-
4) Land was revalued on 01.04.2021 for Rs 500 000 by a professional valuer. Revaluation has not been accounted.
5) Motor vehicle, which was purchased for Rs 450, 000 on 01.4.2018, was sold for Rs 250,000 on 31.03.2022 No entry has been passed other than debiting the sales proceeds to the cash control account and crediting to the sales account.
6) Fixed assets are depreciated on following method as follows.

   Building - 12% on reducing balance method

   Delivery Vehicles - 10% on Straight line method

   Office equipment - 15% on cost
7) It was decided to write off Rs. 5,000/- as bad debts and the general provision for the doubtful debts should be made as 10% of the remaining balance of debtors.
8) The following goods drawings made by the partners have not been accounted.

   Amal – Rs.2,500/- per month at the beginning of each month

   Kamal – Rs.1,200/- per month at the end of each month

   Vimal – Rs.1,600/- per month at the middle of each month
9) Staff salaries include Rs.16,000 and Rs.10,000 paid to Amal and Kamal respectively.

You are required to:

(a) Trading, profit and loss appropriation account for the year ended 31st March 2022.

(b) Partners' capital account and the current account.

(c) Statement of financial position as at 31st March 2022. (26 Marks)

Question No- 03

1. The details are given from Malini enterprise which has not maintained accounts property.

	31.03.2021 Rs.	31.03.2022 Rs.
Building	450,000	?
Office equipment	370,000	?
Inventory	120,000	155,000
Debtor	450,000	700,000
Cash	250,000	267,000
Creditor	99,000	58,000
Accrued expenses	22,000	7,300

Additional Information;

a) Depreciation for Property, Plant and Equipment is 15% on book value.

b) Additional capital introduced during the period is Rs.225,000.

c) The owner paid her personal income tax of Rs. 115,000 by using business cash.

You are required to compute the profit for the year ended 31st March 2022. (06 Marks)

2. Manal's business carries out all transactions through a bank account. The balance in the bank account on 2022.04.01 was Rs.1,250,000. The transactions during the month of April 2022 are given below:

Transaction Date	Original document	Details	Cheque No	Amount Rs(.000)
2022.04.01	R.No.01	Cash Sales	235401	2,100
2022.04.02	V.No.01	Cash Purchase	350400	3,500
2022.04.03	R.No.02	Received from Suresh	Cash	2,200
2022.04.04	V.No.02	Paid Sujani	350401	1,300
2022.04.05	V.No.03	Paid Salary	350402	300
2022.04.06	R.No.03	Interest income	Cash	350
2022.04.08	R.No.04	Received from Nadasa subject to 10% discount	175237	450
2022.04.10	V.No.04	Paid Sudhakar Subject to 10%	350403	90
2022.04.12	V.No.05	Paid Electricity	350404	220
2022.04.14	V.No.06	Purchased Machinery	350405	3,000
2022.04.15	R.No.05	Obtained Bank loan	Cash	4,200
2022.04.18		Bank informed that Nadasa's cheque is dishonored	175237	450
2022.04.20	R.No.06	Cash sales	235402	5,700
2022.04.23		Electricity payment cheque returned due to error	350404	220
2022.04.25	V.No.07	Manal's Drawing	350406	100
2022.04.30	R.No.07	Received from Kamal	175 238	580

Required:

1. Prepare the Cash Receipts Journal and Cash payments Journal for Manal's business for the month of April 2022.
2. Use the information from the cash receipt Journal and Cash payments Journal to prepare the cash control account. (12 Marks)

Question No- 04

Nike Sport Club (NSC) maintains a fully equipped gymnasium in Colombo. The following information was extracted from the books of the NSC Club.

Details	As at 31.03.2022	As at 31.03.2021
Gymnasium equipment	1,520,000	1,400,000
Sports equipment	80,000	90,000
2% Fixed deposits	100,000	100,000
Bar stock	70,000	50,000
Prepaid rent	12,000	6,000
Cash & Bank	40,000	56,000
Bar creditors	60,000	76,000
Bar debtors	110,000	85,000
Accrued bar expenses	10,000	14,000
Bar equipment	60,000	-
Members' Subscription-Received in advance	25,000	40,000
-Receivable	20,000	10,000

Summarised Receipts and Payments account for the year ended 31st March 2022 was as follows;

Details	Amount (Rs)	Details	Amount (Rs)
Balance Brought Forward	56,000	Rent	176,000
Members Subscriptions	250,000	Gymnasium Equipment	260,000
Bar sales	850,000	Sports Equipment	8,000
Donation for Weight Lifting Tournament	46,000	Weight Lifting Tournament Expenses	43,000
Investment Income	12,000	Newspapers Expenses	4,000
		Gymnasium Instructor's Fees	120,000
		Bar Expenses	132,000
		Bar Cash Purchases	36,000
		Bar Creditors	285,000
		Bar Equipment	110,000
		Balance carried down	40,000
	1,214,000		1,214,000

Following additional information is also available for the year ended 31 March 2012.

1) The members' subscription per head is Rs. 5,000 per year and there were 55 members in the club as per records as at 31st March 2022.

2) 60% of the total square feet of the rented building is used for the Bar.

Required:

1. Income and Expenditure Account for Nike Sport Club (NSC) for the year ended 31st March 2022 including Profit & Loss Account for the Canteen. (13 Marks)
2. Statement of Financial Position of VSC as at 31st March 2022. (05 marks)

Question No- 05

1. Write three (03) disclosures regarding inventories in the financial statements? (03 Marks)
2. Following information is related to the closing stocks of Mayura plc an at 31.03.2022.

Batch	Item	Quantity Kg	Expected Cost price per kg	Estimated NRV per kg
Rice	Nadu	200	175	180
	Samba	300	270	260
Milk powder	Raththi	50	1000	1100
	Anchor	60	1000	950

Required:

If company uses item by item basis to value the closing stock,

a) Calculate, value of stocks that should be shown in the statement of financial position prepared as at 31.03.2022

b) Write Journal entries to adjust the closing stock (05 Marks)

3. The information relevant to the inventory item 'XYZ' traded by Suren PLC for the month of January 2022 is given below.

Date	Description	Quantity (Units)	Unit Cost (Rs.)
January 01	Opening balance	700	45
January 05	Purchase	200	30
January 12	Sales	500	-
January 15	Purchase	400	35
January 20	Sales	300	-
January 25	Sales	200	-
January 31	Purchase	350	40

Required:

a) Cost of Inventory of 'XYZ' as at 31.01.2022 based on First-in-First-Out (FIFO) method.

b) Calculate the Cost of sale and gross profit (if all the sales mentioned above will be sold at Rs. 80) for January 2022 based on First-in-First-Out (FIFO) method.

c) Cost of sale for January 2022 based on Weighted Average Cost method. (10 Marks)

Question No- 06

Amali is the newly appointed bookkeeper of "NYK" Traders and the trial balance prepared by her as at 31st March 2022 did not agree. The difference has been transferred to the suspense account and prepared the draft financial statements. A profit of Rs.175,000/- was shown as per the draft financial statements for the year ended 31st March 2022. The following errors were identified subsequently: (assume that 'NYK' traders not maintained the control account system)

1) Credit purchase of Rs.75,000/- has been debited to purchase account as Rs.7,500/- while the credit entry has been recorded correctly.
2) Standing order payment of loan installment of Rs 25000 stated in the bank statement of the month of march has not been accounted. loan instilment included an interest of Rs 5000.
3) An amount of Rs. 30,000 was received in full settlement from a customer after he was allowed a discount of Rs. 5000. But while writing the books, the amount received was entered in the discount column and discount allowed was entered in the amount column.
4) Electricity expense of Rs.750/- recorded in the cash book has not been recorded in the electricity expense account.
5) Stationary purchased for Rs 40 000 on 01.04.2021 has been debited to the office equipment account as Rs 400,000. But it has been correctly recorded in the cash account. Office equipment's are depreciated 10% on cost. Current year depreciation has also been accounted.
6) Interest expense of Rs.5,000/- has been credited to interest income account. This was correctly recorded in the cash book.
7) Cash withdrawn by the owner of the business for his personal use was Rs.175,000/- and it was only recorded in the cash book.
8) Return inwards of Rs 50,000 has been debited to return inwards account while crediting to sales account.

You are required to:

a) Prepare Journal Entries to rectify the above errors. (10 marks)

b) Prepare Suspense Account (04 Marks)

c) Calculate adjusted Profit (Loss)for the year ended 31st March 2022 of NYK Traders. (04 marks)